

Pricing: Premium Skicare

Problem Statement

Your client, PureGlow, is a fast-growing premium skincare brand known for its plant-based ingredients and clean beauty positioning. They are preparing to launch a new flagship product: a 50 ml “Glow+ Vitamin C Serum” targeted at Indian urban millennials.

The product will be sold via online marketplaces (Amazon, Nykaa), their own D2C site, and select high-end pharmacy retail outlets.

This is their first Vitamin C product — they want to enter the ₹100 Cr+ Vitamin C serum market in India.

They want you to determine the optimal launch price that will help PureGlow:

- Penetrate the market
- Build a premium yet accessible positioning
- Achieve 25% gross margin or higher

Clarification Questions

Objective:

- Recommend the launch price (MRP) of the Glow+ Serum

Success Metrics:

- Achieve sales of 200,000 units in the first 12 months
- Maintain gross margin $\geq 25\%$
- Position brand as premium but value-driven
- Be competitive on online platforms (Amazon, Nykaa)

Business Context:

- PureGlow is known for clean-label, cruelty-free products
- Vitamin C serum is the first product in its "Glow+" premium range
- Product has 10% stabilized Vitamin C, hyaluronic acid, and niacinamide
- Packaging is minimal and eco-friendly (glass bottle)

Cost Breakdown (per 50ml unit):

Component	Cost (₹)
Raw Materials (Actives + Base)	65
Bottle & Labeling	25
Secondary Packaging	15

QC, R&D & Formulation	10
Fulfillment + Storage	20
TOTAL COGS (Per Unit)	₹135

- Marketing cost per unit: ₹40
- Amazon & Nykaa take platform margins: 20–25%
- D2C sales via own site: Payment + shipping cost = ₹30 per unit

MECE Pricing Framework & Approach

We will follow a 3-pronged pricing framework:

1. Cost-Based Pricing
Determine breakeven price floor by adding margin targets and known platform costs.
2. Competitor-Based Pricing
Analyze prices of leading Vitamin C serums (30+ SKUs exist in the Indian market) to identify sweet spots for PureGlow's positioning.
3. Customer Value-Based Pricing
Assess price elasticity, perceived differentiation, and customer willingness to pay based on brand and ingredient quality.

Step-by-Step Solution

Step 1: Cost-Based Pricing (Pricing Floor)

Objective: Achieve 25% gross margin on net realization after channel costs.

Let P = MRP (Max Retail Price)

Assumptions:

- Avg platform margin: 22% (i.e., PureGlow gets $0.78P$)
- Costs to recover = ₹135 (COGS) + ₹40 (marketing) = ₹175
- We want profit = 25% of $0.78P$ = $0.195P$

So:

$$0.78P - ₹175 = 0.195P$$

$$\Rightarrow 0.585P = ₹175$$

$$\Rightarrow P = ₹299$$

Cost-based pricing floor: ₹299 (rounded)

So any price below ₹299 will not allow PureGlow to sustain target margins.

Step 2: Competitor-Based Pricing

Benchmarking top-selling Vitamin C serums (50 ml equivalent pricing):

Brand	Positioning	Price (₹)
Minimalist	Science-backed	₹599
Dot & Key	Youthful / Fun	₹545
Mamaearth	Natural / Mass	₹399
Garnier	Mass market	₹299
Plum	Vegan / Affordable	₹450
The Ordinary	Clinical / Import	₹950+

Insights:

- Premium-but-local brands sit around ₹499–₹599
- Below ₹399 is considered “value” or mass
- The Ordinary and imported brands are priced ₹900–₹1,200

Given PureGlow’s positioning (clean, plant-based, aspirational), it can command a premium over

Mamaearth/Plum, but should undercut imported brands.

Sweet spot = ₹499–₹549

Step 3: Customer Value-Based Pricing

Consumer Research Findings (hypothetical):

- 70% of PureGlow's current buyers are willing to pay up to ₹600 for a hero skincare product
- Among Vitamin C buyers:
 - 25% are price-conscious: prefer $\leq$ ₹399
 - 50% are value-conscious: accept ₹450–₹599
 - 25% are quality-seekers: will pay ₹600+

WTP Testing:

- At ₹499 → Purchase intent = 72%
- At ₹549 → Purchase intent = 65%
- At ₹599 → Purchase intent = 56%

Gross Profit Simulation:

Assume $P = \text{MRP}$ and Platform margin = 22%, so company keeps 0.78P

Price (₹)	Net Realization	GP/Unit (Net – 175)	Volume Estimate	Total GP (₹ Cr)
₹499	₹389	₹214 – ₹175 = ₹39	220,000	₹8.58 Cr
₹549	₹428	₹253 – ₹175 = ₹78	180,000	₹14.04 Cr
₹599	₹467	₹292 – ₹175 = ₹117	140,000	₹16.38 Cr

Recommendation:

- ₹549 delivers strong margin and still good uptake.
- ₹499 is safer for penetration but tight on profitability.
- ₹599 gives max profit/unit but risks slower adoption.

Final Recommendation

- Launch price = ₹549 (MRP)
- Discount to ₹499 during launch month to attract early adopters
- Offer bundles: Buy 2 get 10% off; Combo with sunscreen at ₹999

- Avoid falling below ₹499 permanently to protect brand premium
- Push D2C sales (30% margin) through loyalty programs

Interview-Style Transcript

Interviewer: Your client PureGlow is launching a premium Vitamin C serum and needs your help with pricing. How would you approach this?

Candidate: I'd use a 3-pronged approach: cost-based pricing to determine the floor, competitor-based to understand market positioning, and customer value-based pricing to identify perceived value.

Interviewer: Let's begin with cost-based.

Candidate: Sure. The COGS per unit is ₹135, and marketing is ₹40. Platform fees are ~22%, so the company keeps 78% of MRP. To achieve a 25% margin, I calculated a price floor of ₹299. Any price below that hurts profitability.

Interviewer: Good. What about competitors?

Candidate: Mamaearth is at ₹399, Minimalist at ₹599, and imported brands like The Ordinary are at ₹950+. PureGlow sits between Dot & Key and Plum in terms of positioning. So I'd say ₹499–₹549 is a good band to play in.

Interviewer: What about customer willingness to pay?

Candidate: Surveys show most target users are okay with ₹500–₹600 for clean, premium

skincare. At ₹499, we'd maximize reach. At ₹549, we balance margin and intent. At ₹599, we earn most per unit but risk lower volumes.

Interviewer: What's your final pricing recommendation?

Candidate: I'd set MRP at ₹549 to retain premium perception and meet margin goals. During launch, I'd offer an introductory price of ₹499. That gives us flexibility to scale while preserving brand positioning. I'd also push the D2C channel to increase margins further.

Interviewer: Nicely structured. Thank you.